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BUSINESS • EARNINGS

P&G's Sales Rise, Helped by Slimmer Beauty Portfolio

The maker of Tide, Dawn and Charmin raises the high end of its annual earnings per share outlook due to the new tax legislation

By Imani Moise

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P&G has also been trying to curb a dangerous trend in which teens consume highly toxic Tide Pods detergent for social-media likes and shares. DANIEL ACKER/BLOOMBERG NEWS

Procter & Gamble Co. said its sales and adjusted earnings rose in the most recent quarter as the consumer-products company tries to refresh its staple brands.

The company, which makes Tide laundry products, Dawn dish soap and Charmin tissue, also raised the high end of its annual earnings per share outlook by a percentage point because of the newly enacted tax legislation.

Overall, the company posted a net benefit of \$135 million from a reduced tax rate and a net charge of \$628 million for repatriating its overseas profit.

Organic sales, a closely watched metric that strips out currency moves, acquisitions and divestitures, rose 2%.

P&G's decision to streamline its beauty business by selling the bulk of it to Coty Inc. COTY **3.26%** ▲ in 2016 helped organic sales in the segment rise 9%—the largest gain by that measure among company segments—during the quarter. The company said revamped products in the health-care business helped boost sales 4%. Organic sales in the grooming segment fell 3% as the company cut prices to compete with newer upstarts in the shaving market.

In recent quarters, the company has said it was puzzled by sluggish consumer spending on household staples such as paper towels and shampoo and has been trying to spiff up its products to spur sales.

P&G has also been trying to curb a dangerous trend in which teens consume the highly toxic Tide Pods detergent product for social-media likes and shares. The company has faced concerns over Tide Pods, small packs of concentrated liquid detergent, since their launch in 2012, but the recent viral videos have sounded fresh alarm bells.

In all for its second quarter, the Cincinnati-based company reported earnings of \$2.5 billion, or 93 cents a share, down from a profit of \$7.88 billion, or \$2.88 a share, a year earlier. The prior year's quarter included a benefit from a divestiture. On an adjusted basis, earnings rose 10% to \$1.19 a share.

Revenue rose 3.2% to \$17.4 billion.

Analysts polled by Thomson Reuters had forecast earnings of \$1.14 a share on \$17.39 billion in sales.

Shares in P&G were down 3.1% at \$89.07 at midday Tuesday. The stock was up 5.7%

over the past 12 months, through Monday.

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